

LESSON 1. WAGES, SALARIES, AND COMPENSATION SCHEMES

Payroll, Commission and Taxes

Compensation is the money paid to people for their work. It can come in different forms including wages, salaries, and commissions,

Wages are based on the number of hours workers or the amount of work completed, which is common in factory or hourly job.

Salaries are fixed regular payments, usually given to professionals or office workers who are paid to complete tasks rather than track time.

Commissions are earnings based on how much a person sells, commonly seen in real estate, insurance, and similar fields. Some jobs may even combine a salary with commission

A. Payroll

Payroll is the process a business uses to make sure employees are paid the correct amount at the right time.

1. It involves keeping track of each worker's hours, salary, and any deductions, and making sure they receive their pay based on the company chosen pay period, such as weekly, bi weekly, semi-monthly, or monthly.
2. Payroll also includes preparing records that show how much each employee earns and when they are paid.
3. It is an important task in any business to ensure fair and accurate payment to workers.

B. Common Pay Periods

Types of Pay Periods

Pay Periods	Description	Computation
Weekly Salary	You get paid once a week, which means 52 paychecks in a year.	The annual salary is divided by 52.
Biweekly Salary	You get paid every two weeks, giving you 26 paychecks a year.	The annual salary is divided by 26.
Semi-monthly Salary	You get paid twice a month (like the 15 th and 30 th), which adds up to 24 paychecks in a year.	The annual salary is divided by 24.
Monthly Salary	You get to paid once a month, so you receive 12 paychecks a year.	The annual salary is divided by 12.

Illustrative Example:

Jasmine works as graphic designer and earns ₱30,000 every month. She wants to know how much she earns in a year and in a week.

To solve the problem, follow the **GRESMA METHOD**:

1. **Given:** Identify the given information in the problem.
2. **Required:** Identify what is being required or asked.
3. **Equation:** Identify the equation or formula being used.
4. **Solution:** Solve the problem by performing the computations using the identified equation.
5. **Answer:** State your final answer clearly.

Solution: Using the GRESMA method

Given: Jasmine's monthly salary = ₱30,000

Required: Jasmine's annual and weekly salary

a.) What is Jasmin's total earning per year?

There are 12 months in a year, so:

$$\begin{aligned}\text{Annual Salary} &= \text{Monthly salary} \times 12 \text{ (Equation)} \\ &= ₱30,000 \times 12 \text{ (Solution)} \\ &= \text{₱360,000}\end{aligned}$$

Thus, Jasmine's annual salary is **₱360,000. (Answer)**

b.) What is her earning per week?

There are 52 weeks in a year, so:

$$\begin{aligned}\text{Weekly Salary} &= \text{Annual Salary} \div 52 \\ &= ₱360,000 \div 52 \\ &= ₱6,923.078\end{aligned}$$

Thus, Jasmine's weekly salary is approximately **₱6,923.078.**

C. Finding Overtime (OT Pay for Salaried Employee)

Overtime pay rules come from Article 87 of the Philippine Labor Code. Employees are compensated for work beyond 8 hours per day.

Types of Overtime

Type	Description	Computation Formula
Regular Day Overtime	Work beyond 8 hours on a regular day (+25%)	Hourly Rate $\times$ 1.25 $\times$ Hours
Rest Day or Special Day Overtime	Overtime on rest/special day (+30% on top of 130% base)	Hourly Rate $\times$ 1.69 $\times$ Hours
Regular Holiday Overtime	Overtime on a holiday (+30% on top of 200% base)	Hourly Rate $\times$ 2.6 $\times$ Hours
Holiday Falling on Rest Day Overtime	Overtime on holiday + rest day (+30% on top of 260% base)	Hourly Rate $\times$ 3.38 $\times$ Hours

Illustrative Example:

Problem: Carlo earns ₱120/hour. His overtime this week:

1. **Day 1:** 2 hrs regular day OT
2. **Day 2:** No Overtime
3. **Day 3:** 3hrs rest day OT
4. **Day 4:** No Overtime
5. **Day 5:** 1.5hrs holiday + rest day OT

Solution:

6. **Day 1:** $\text{₱}120 \times 1.25 \times 2 = \text{₱}300$
7. **Day 3:** $\text{₱}120 \times 1.69 \times 3 = \text{₱}608.40$
8. **Day 5:** $\text{₱}120 \times 3.38 \times 1.5 = \text{₱}608.40$

Total OT Pay:

$\text{₱}300 + \text{₱}608.40 + \text{₱}608.40 = \text{₱}1,516.80$

Answer: Carlo's total overtime pay = ₱1,516.80

D. Finding the Gross Earning for Piecework

Piecework = pay based on number of items finished, not hours worked.

Formula: Gross Earnings = Pay per item $\times$ Number of items

Illustrative Example:

Jessa Works in a garment factory and is paid based on the amount of clothing parts she sews. Her rate are as follows:

Rates: ₱50 per sleeve, ₱70 per collar, ₱90 per pocket

In one week, Jessa sewed 200 sleeves, 150 collars, 180 pockets. How much is her gross earning for the weeks?

Table: Jessa's Piecework

Item	Rate	Number	Total
Sleeves	₱50	200	₱10,000
Collars	₱70	150	₱10,500
Pockets	₱90	180	₱16,200

Total Gross Earnings = ₱36,700

Answer: Jessa's weekly gross = ₱36,700

E. Gross Earnings for Differential Piecework

Definition: Differential piece rate = workers earn one rate up to a quota, and a higher rate beyond it.

Illustrative Example:

Leo works in a packaging company. He paid using a differential piece rate system.

He earns his quota: ₱10 per box for first 100 boxes

For beyond quota: ₱15 per box Total packed: 160 boxes

How much is his gross earnings?

Solution:

1. First 100 boxes = $100 \times \text{P}10 = \text{P}1,000$
2. Extra 60 boxes = $60 \times \text{P}15 = \text{P}900$
3. Total = $\text{P}1,000 + \text{P}900 = \text{P}1,900$

Answer: Leo's gross = $\text{P}1,900$

F. Commission

Commission = pay based on sales. Formula: $\text{Commission} = \text{Commission Rate} \times \text{Amount of Sales}$

Types of Commission:

4. Straight commission: same rate for all sales.
5. Variable commission: rate increases as sales grow.

Illustrative Example:

Mariel is a real state agent who earns a 5% commission for every house she sells. Last month, she successfully sold a house worth $\text{P}3,200,000$. How much she earns from the sales?

Solution: $\text{Commission} = 0.05 \times \text{P}3,200,000 = \text{P}160,000$

Answer: Mariel earned $\text{P}160,000$.

Taxes – are amounts of money that the government collects from individuals and businesses to generate income and manage public resources.

– They play a vital role in supporting the operations and services of the government, such as education, healthcare, and infrastructure. Because taxes are an essential part of how the government functions, it is important for everyone to understand the basic rules for calculating them. The following lesson will guide us in learning how to compute the correct amount of taxes.

Types of Taxes in the Philippines

Excise Tax – Tax imposed on specific goods such as alcohol, fuel, and tobacco.

Example: When purchasing gasoline, part of the amount paid includes excise tax.

Capital Gains Tax (CGT) – Tax imposed on profit earned from selling assets.

Example: Selling a house may require paying capital gains tax.

Documentary Stamp Tax (DST) – Tax on legal documents and transactions.

Example: Applying for a loan may require payment of DST.

Percentage Tax – Tax for small businesses that are not VAT-registered.

Example: A small sari-sari store may pay percentage tax instead of VAT.

Donor's Tax – Tax imposed on gifts or donations.

Example: Giving a large amount of money as a gift may require donor's tax.

Real Property Tax (RPT) – Tax imposed on ownership of land and buildings.

Example: Homeowners pay annual property tax to the local government.

Business Tax – Local tax imposed on operating a business.

Example: A milk tea shop pays business tax to the city or municipality.

Transfer Tax – Tax imposed when ownership of property is transferred.

Example: Buying land requires payment of transfer tax.

Income Tax – Tax imposed on the income or earnings of individuals and businesses.

Example: A teacher receives a monthly salary and part of it is deducted as income tax.

Value-Added Tax (VAT) – Tax added to the price of goods and services.

Example: Buying clothes or eating at a restaurant may include 12% VAT.

Withholding Tax – Tax deducted in advance from income.

Example: An employer deducts tax from an employee's salary before releasing payment.

Taxes – money collected by government to fund services.

Formula: $\text{Tax} = \text{Taxable Income} \times \text{Rate of Taxation}$

Table: New Income Tax Table 2025

Taxable Income Range	Tax Due Formula
Not over $\text{P}250,000$	0%
$\text{P}250,001 - \text{P}400,000$	15% of excess over $\text{P}250,000$

₱400,001 – ₱800,000	₱22,500 + 20% of excess over ₱400,000
₱800,001 – ₱2,000,000	₱102,500 + 25% of excess over ₱800,000
₱2,000,001 – ₱8,000,000	₱402,500 + 30% of excess over ₱2,000,000
Over ₱8,000,000	₱2,202,500 + 35% of excess over ₱8,000,000

Illustrative Example 1:

Ana bought a new microwave oven from an appliance store. The price before VAT is ₱6,000. In the Philippines, the VAT rate is 12%. How much is the VAT and the total price of the microwave oven?

Given:

- Price before VAT = ₱6,000
- VAT Rate = 12%

Solution:

$$\text{VAT} = 12\% \times ₱6,000$$

$$\text{VAT} = ₱720$$

$$\text{Total Price} = ₱6,000 + ₱720$$

$$\text{Total Price} = ₱6,720$$

Answer: The VAT is ₱720, and the total price of the microwave oven is ₱6,720.

Illustrative Example 2:

John purchased a laptop worth ₱35,000 before VAT. Compute the VAT and the total amount he needs to pay.

Given:

- Price before VAT = ₱35,000
- VAT Rate = 12%

Solution:

$$\text{VAT} = 12\% \times ₱35,000$$

$$\text{VAT} = ₱4,200$$

$$\text{Total Price} = ₱35,000 + ₱4,200$$

$$\text{Total Price} = ₱39,200$$

Answer: John will pay ₱39,200, which includes ₱4,200 VAT.

Illustrative Example 3:

Maria bought groceries amounting to ₱4,500 before VAT. Find the VAT and the total amount to be paid.

Given:

- Price before VAT = ₱4,500
- VAT Rate = 12%

Solution:

$$\text{VAT} = 12\% \times ₱4,500$$

$$\text{VAT} = ₱540$$

$$\text{Total Price} = ₱4,500 + ₱540$$

$$\text{Total Price} = ₱5,040$$

Answer: The VAT is ₱540, and the total amount to be paid is ₱5,040.

Mandatory Deduction:

1. SSS Table From 14% in 2024 contribution, Social Security System mandated to increase its contribution to 15% effective January 01, 2025, pursuant to Republic Act No. 11199 or the Social Security Act of 2018. The increase puts the employer's SSS contribution share at 10%, and the employee's SSS contribution share at 5%. Below is the link of the updated 2025 SSS contribution table. (<https://www.sss.gov.ph/wp-content/uploads/2024/12/2025-SSS-Contribution-Table-rev.pdf>)

2. Pag-IBIG Contribution The PAG IBIG premium hike in 2025, effective from February 2024, resulted in a maximum contribution of Php 200.00 for the member and another Php 200.00 for the employer which has a sum of Php 400.00 in total. Below is the link of the PAG IBIG contribution table.

<https://taxcalculatorphilippines.online/pag-ibig-contribution-table/>

3. PhilHealth On January 12, the Philippine Health Insurance Corp. (PhilHealth) announced its decision to proceed with the scheduled hike in member contributions starting in 2024. The adjustment will result in the premium rate increasing from the existing 4% to 5%. Below is the link of the updated PhilHealth Contribution table. https://www.philhealth.gov.ph/partners/employers/ContributionTable_v2.pdf

Illustrative Example:

Maria Santos is a 28-year-old factory worker in Laguna earning a minimum wage of ₱570 per day. She works 22 days a month. In April, she rendered 6 hours of overtime.

- Compute Maria's gross income, including overtime pay.
- How much is her total deductions
- Compute Maria's net income for this month.

a. Compute Maria's gross income, including overtime pay.

Given:

Daily Rate = ₱570

Days Worked = 22

Overtime = 6 hours

REQUIRED: Compute Maria's gross income including overtime pay.

EQUATION:

Gross Income = (Daily wage × Daily worked) + (hourly Rate × 1.25 × Overtime)

SOLUTION:

Regular Pay = ₱570 × 22 = ₱12,540

Hourly Rate = ₱570 ÷ 8 = ₱71.25

Overtime Rate = ₱71.25 × 1.25 = ₱89.06

Overtime Pay = ₱89.06 × 6 = ₱534.37

Gross Income = ₱12,540 + ₱534.37 = ₱13,074.37

b. Total Deductions

GIVEN:

SSS = ₱650

PhilHealth = ₱313.50

Pag-IBIG = ₱200

REQUIRED: Compute Maria's total deductions.

EQUATION:

Total Deductions = SSS + PhilHealth + Pag-IBIG

SOLUTION:

₱650 + ₱313.50 + ₱200 = ₱1,163.50

ANSWER: Maria's total deductions = ₱1,163.50

c. Compute Maria's net income for this month.

Net Income = Gross Income - Total Deductions

₱13,074.37 - ₱1,163.50 =

₱11,910.88

Illustrative Example:

Chris works at a marketing company for 20 days a month earning ₱37,000. This month, he worked an additional 10 hours of overtime, paid at 1.25 times his regular hourly rate.

- Compute Chris's gross income, including overtime pay.
- Compute his withholding tax for this month.
- How much is his total deductions, including the withholding tax?
- Compute Chris's net income for this month.

a. Compute Chris's Gross Income

Given:

Monthly Basic Pay = ₱37,000

Workdays = 20 days

Daily Rate = ₱37,000 ÷ 20 = ₱1,850

Hourly Rate = ₱1,850 ÷ 8 = ₱231.25

Overtime Hours = 10

Overtime Rate = 125%

Required: Gross Income (Basic Pay + Overtime Pay)

Equation:

Overtime Pay = Hourly Rate × Overtime Hours × 1.25

Gross Income = Basic Pay + Overtime Pay

Solution:

Overtime Pay = ₱231.25 × 10 × 1.25 = ₱2,890.63

Gross Income = ₱37,000 + ₱2,890.63 = ₱39,890.63

Answer: Gross Income = ₱39,890.63

b. Compute his withholding tax for this month

Given:

Gross Income = ₱39,890.63

Monthly Deductions = ₱1,750 + ₱925 + ₱200 = ₱2,875

Required: Withholding Tax for the month

Equation:

$$\text{Taxable Income} = \text{Gross Income} - \text{Deductions}$$

$$\text{Annual Taxable Income} = \text{Taxable Income} \times 12$$

Tax Table: ₱22,500 + 20% of excess over ₱400,000

Solution:

Taxable Income = ₱39,890.63 - ₱2,875 = ₱37,015.63

Annual Taxable Income = ₱37,015.63 × 12 = ₱444,187.56

Annual Tax = ₱22,500 + 0.2(₱44,187.56) = ₱31,337.51

Monthly Withholding Tax = ₱31,337.51 ÷ 12 = ₱2,661.46

Answer: Withholding Tax = ₱2,661.46

c. How much is his total deductions, including the withholding tax?

Given:

Other Deductions = ₱2,875

Withholding Tax = ₱2,661.46

Required: Total Deductions

Equation:

$$\text{Total Deductions} = \text{Other Deductions} + \text{Withholding Tax}$$

Solution: Total Deductions = ₱2,875 + ₱2,661.46 = ₱5,536.46

Answer: Total Deductions = ₱5,536.46

d. How much is his total deductions, including the withholding tax?

Given:

Gross Income = ₱39,890.63

Total Deductions = ₱5,536.46

Required: Net Income

Equation:

$$\text{Net Income} = \text{Gross Income} - \text{Total Deductions}$$

Solution: Net Income = ₱39,890.63 - ₱5,286.46 = ₱34,604.17

Answer: Net Income = ₱34,354.17

Try it yourself:**Case Study: Where Does Your Salary Go?**

Juan Dela Cruz is a 21-year-old Sales Assistant working at a department store in Quezon City. He is paid a monthly basic salary of ₱20,000. In April 2025, Juan worked 2 hours of overtime regular day.

a. Compute Juan's gross income, including overtime pay.

b. Compute his withholding tax for this month.

c. How much is his total deductions, including the withholding tax?

d. Compute Juan's take-home pay for this month.

a. Gross Income

Basic Salary: ₱20,000

Hourly Rate:

Basic Pay x 12 mons / 52 week / 6 days / 8 hours

$$\begin{aligned} \text{Hourly Rate} &= \frac{20,000 \times 12}{52 \times 6 \times 8} \\ &= \frac{240,000}{2,496} = \text{₱96.15} \end{aligned}$$

Overtime Rate (125%):

96.15 × 1.25 × 2 = ₱240.38

Gross Income:

20,000 + 240.38 = ₱20,240.38

b. Withholding Tax:

Given:

Gross Income = ₱20,240.38

Monthly Deductions

SSS: ₱1,000

PhilHealth: ₱500

Pag-IBIG: ₱200

Total Deductions: ₱1,000 + ₱500 + ₱200 = ₱1,700.00

Required: Withholding Tax for the month

Equation:

$$\text{Taxable Income} = \text{Gross Income} - \text{Deductions}$$

$$\text{Annual Taxable Income} = \text{Taxable Income} \times 12$$

Solution:

Taxable Income = ₱20,240.38 - ₱1,700 = ₱18,540.38

Annual Taxable Income = ₱18,540.38 × 12 = ₱222,484.56

This is not over ₱250,000, so 0% tax.

Withholding Tax = ₱0.00

c. Total Deductions

SSS: ₱1,000

PhilHealth: ₱500

Pag-IBIG: ₱200

Withholding Tax: ₱0.00

Total Deductions: ₱1,000 + ₱500 + ₱200 = ₱1,700.00

d. Net Income

₱20,240.38 - ₱1,700.00

= ₱18,540.38

PAYROLL TABLE

A. Complete the Payroll Computation Tables by identifying the corresponding SSS, PhilHealth, Pag-IBIG, and Withholding Tax deductions. Then, compute the Total Deductions and Net Income.

Problem 1:

Jenny has recently been hired as an Administrative Assistant in a private company. As the payroll staff, your task is to prepare her payroll for the month. Jenny earns a daily rate of ₱600 and worked for 24 days. Rendered 3 hours of overtime on her rest day.

Payroll Computation Table

Name of Employee	
Daily Rate	600.00
Days Worked	24
Basic Income	14,400.00
Hourly Rate	75.00
Overtime Hours	3
Overtime Pay	760.50
Gross Income	15,160.50
Mandatory Deduction:	
SSS Contribution	750.00
Pag-IBIG Contribution	200.00
Philhealth Contribution	360.00
Withholding Tax	-
Total Deduction:	1,310.00
NET INCOME:	13,850.50